Three crypto arbitrage strategies against a 2.5% deposit

The question: can any of them beat a 2.5% EUR bank deposit after every cost?

1 Cross-exchange spot arbitrage

Buy BTC or ETH on the cheaper exchange and sell on the dearer one at the same moment.

−2.3 bps

median price gap at €100k, against a 17 bps cost

No edge

2 Perpetual funding carry

Buy spot and short the perpetual future; collect the funding that leveraged longs pay.

3.3%

a year of funding (Kraken BTC, 12 months), before hedge and risk

Edge ≈ deposit rate

3 EURC depeg capture

Rest bids below €1 for the euro stablecoin; buy when a seller dumps, sell back near par.

€100–300

a year, realistic, on a €5k sleeve

Real edge, tiny capacity

Decision: deploy none. The €40k test capital stays in the 2.5% deposit.

Syed Zee Waqar Hussain · May 2025 – Oct 2026 · Paper trading on live public market data · No orders sent

Eighteen months, three strategies, one yardstick

May 2025

Prototype

Binance vs Kraken z-score engine, live paper trading, web dashboard

May–Jun 2026

Institutional model

"BSDEX vs World": bank fee tiers, live EUR/USDT, full-depth prices, slippage

11–15 Oct 2026

Audit + live run

Three backtest bugs fixed; 4-hour live campaign at €100k per leg

13–22 Oct 2026

Alternatives

Perpetual carry (12 months of funding) and EURC (live test + daily history)

22 Oct 2026

Decision

Deploy none; keep the €40k in the deposit

Strategy	Venues	Evidence	Live test
1 Cross-exchange spot	Bitstamp EUR, Binance USDT→EUR, Kraken	136-setting backtest sweep, order-book replays, verified 1-week backtest	4 h on 14 Oct, 49,825 snapshots per coin
2 Perpetual funding carry	Kraken, Deribit, OKX perpetuals	12 months of hourly funding; EU fee schedules and access	None: profit accrues over months, not hours
3 EURC depeg capture	Bitvavo, Kraken, Bitstamp (EURC/EUR)	12 months of daily candles; resting-bid ladder backtest	2.6 h on 22 Oct, three venues, rules set in advance

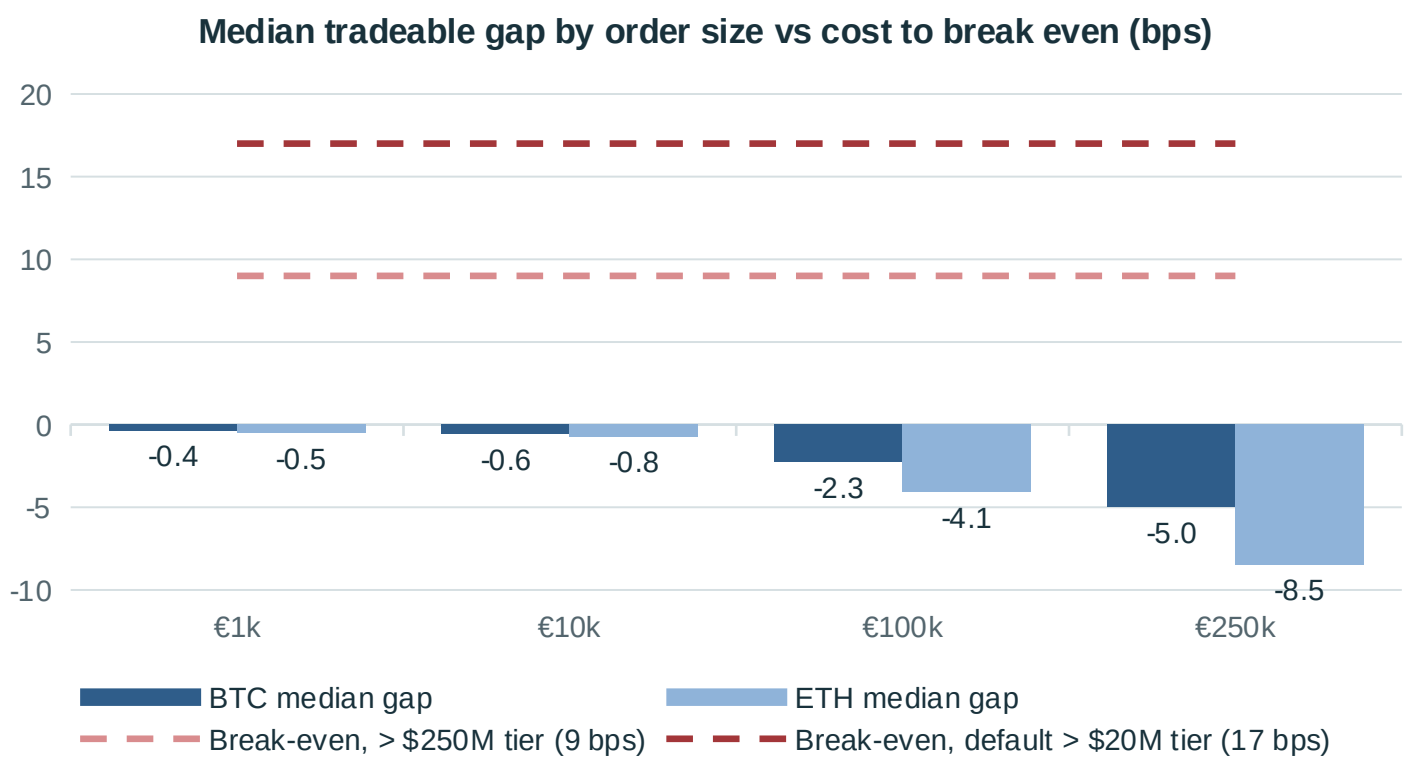
Same yardstick for all three: net of every fee, spread, currency, funding and idle-capital cost, measured against a 2.5% EUR deposit.

Sources: git history; docs/BSDEX_Explainer_Guide.html; docs/eurc_live_test.md; data/meta.json. Bitstamp stands in for BSDEX (its API needs keys).

STRATEGY 1 · CROSS-EXCHANGE SPOT ARBITRAGE

The price gap is smaller than the cost of trading it

Buy on the cheaper exchange, sell on the dearer one, at the same moment. BTC and ETH, Bitstamp (EUR) vs Binance (USDT, in EUR).



0 trades

in a 4-hour live paper run at €100k per leg; the gap beat 17 bps 0% of the time

0 of 136

realistic backtest settings made money (7–14 Oct, every fee tier)

+€276 → −€1,548

the “profitable” backtest once look-ahead, a stale FX rate and instant fills were fixed

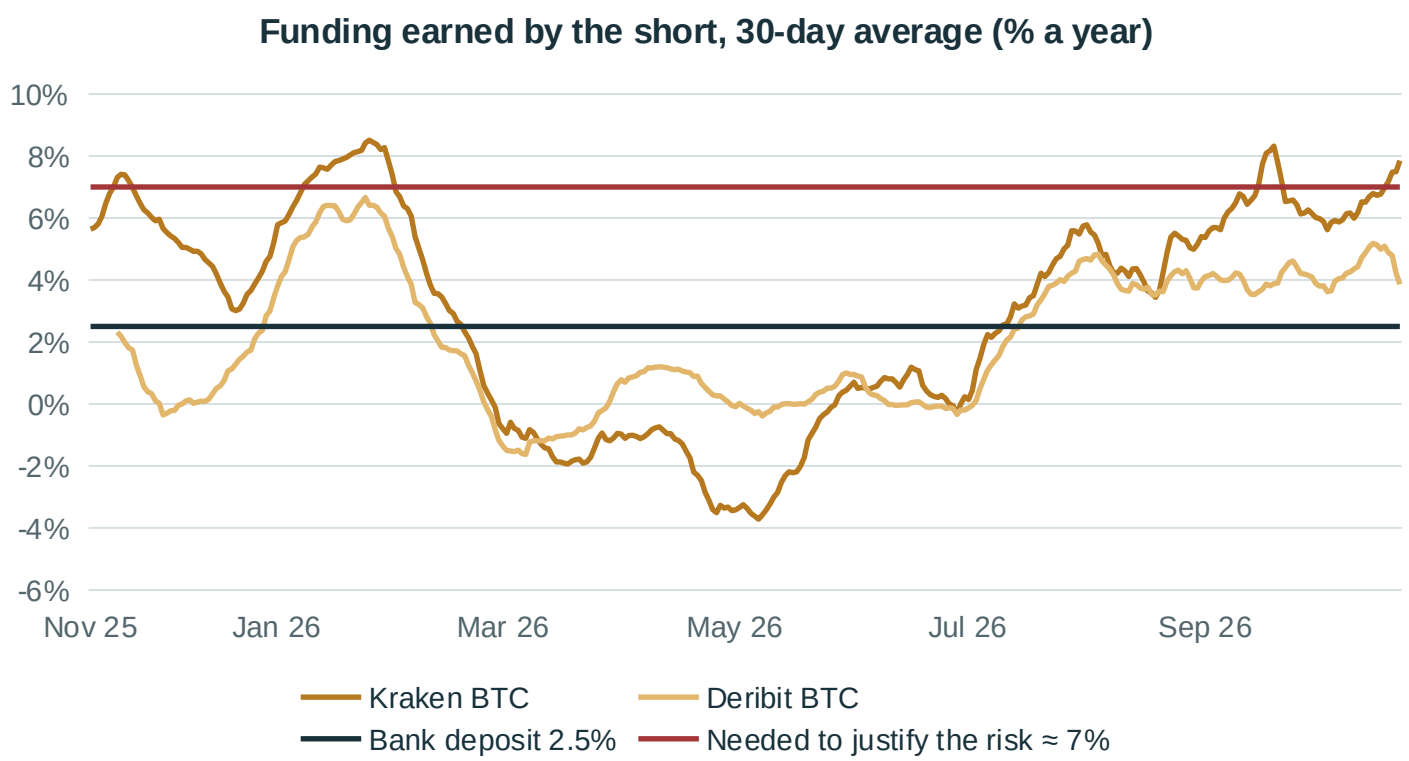
Verdict: no edge. The market is arbitraged to within a few bps; paying spread and fees on both legs cannot win. The rare big gaps were frozen prices, ≤ 3 s.

Live campaign 14 Oct 2026, 4 h (docs/BSDEX_Explainer_Guide.html); gap after crossing both books, before fees. Backtest: BTC/EUR 24 Sep–1 Oct 2026.

STRATEGY 2 · PERPETUAL FUNDING CARRY

The yield is real, but it is roughly the deposit rate

Hold the coin and short its perpetual future so price moves cancel; earn the funding that leveraged buyers pay.



3.3% vs 2.5%

12-month average funding, Kraken BTC (Deribit 2.3%), in USD

31% of hours

had negative funding on Kraken: the short pays instead of earning

€960–1,720

a year on €40k before the EUR/USD hedge, against €1,000 from the deposit

Verdict: edge ≈ deposit rate. Pays only in high-funding regimes, with exchange and ESMA “likely CFD” risk on 100% of capital; cheapest venues are closed to EU residents.

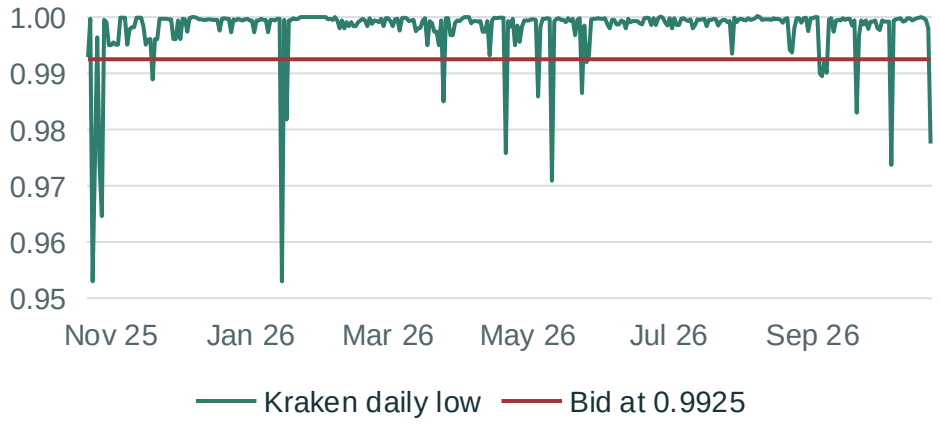
Funding: Kraken Futures and Deribit public history to 22 Oct 2026, 30-day average, annualised. Net range and ≈7% level: docs/eurc_live_test.md.

STRATEGY 3 · EURC STABLECOIN DEPEG CAPTURE

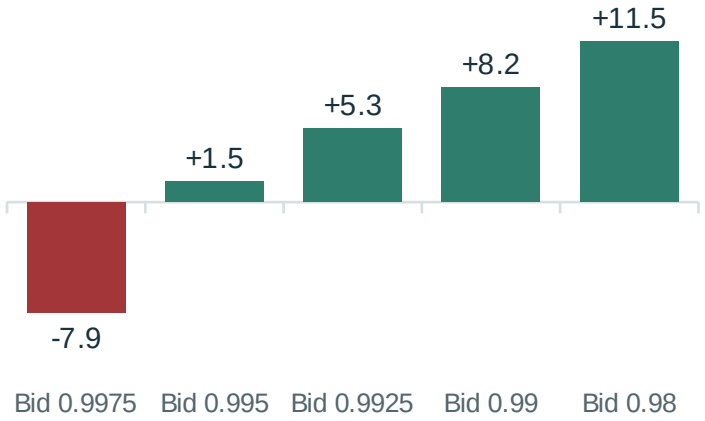
A real edge, but each depeg is small and brief

Rest bids below €1 for the euro stablecoin; when a holder dumps into a thin book, buy and sell back near par.

EURC/EUR daily low on Kraken, last 12 months



Resting-bid backtest after fees (% a year)



Fills over the year: 41 · 19 · 15 · 13 · 6. Candles prove a price printed, not that size was there.

20 days

below €0.9925 on Kraken in 12 months (low €0.953)

≈2.5k EURC

per seller sweep on the live tape: +€12 on one event

€100–300

a year, realistic, on a €5k sleeve

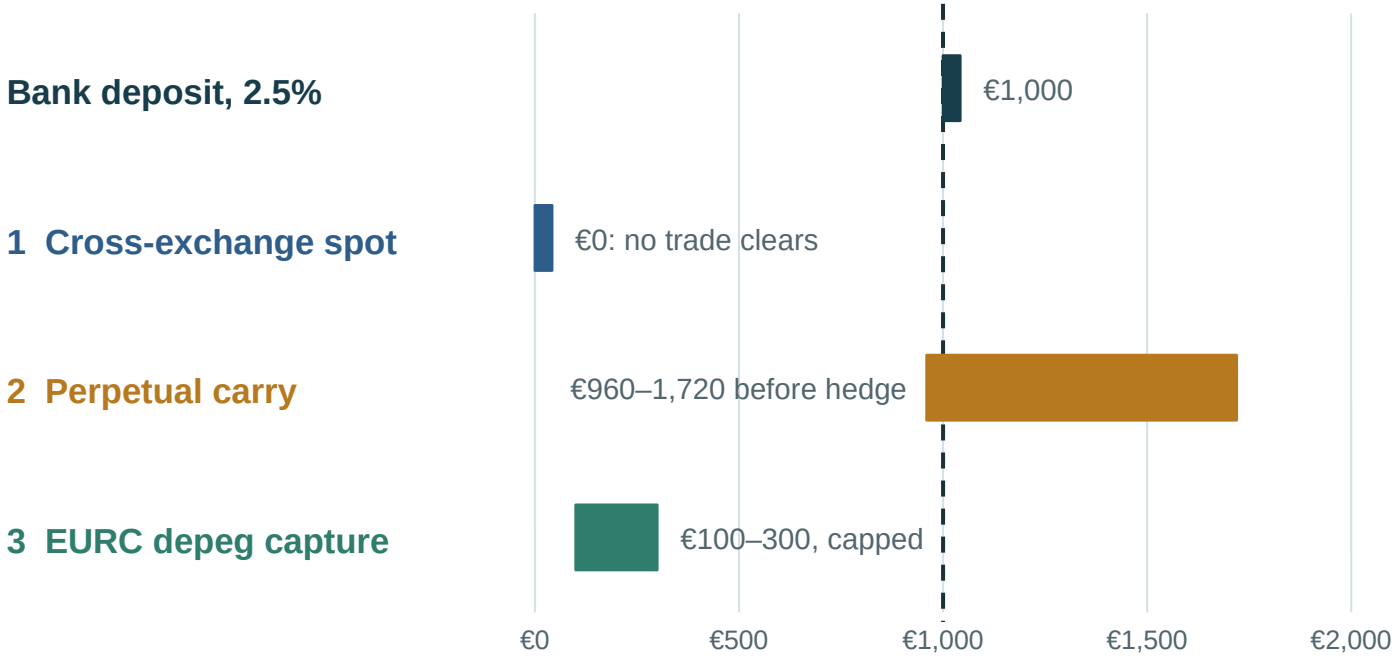
Live test, 22 Oct (2.6 h): market making −€29 and failed all 4 pre-set criteria; cross-venue arbitrage −39 bps at €10k. Kraken's 2 bps spread sits under a 20 bps fee.

Verdict: real edge, tiny capacity. Deep bids do catch depegs, but each sweep is a few thousand EURC: too small to move €40k, and it needs two venues and on-chain transfers.

Kraken EURC/EUR daily candles to 22 Oct 2026. Ladder: rule in scripts/eurc_live_test.py, 0.20% fee each side, exit 0.9995. Live test: docs/eurc_live_test_results.md.

None beats the deposit by enough to justify the risk

What €40k would have earned in a year



	Capacity	Main risk	Worth revisiting if
1	None: no edge	Fees on both legs; frozen prices	A maker-only design with a near-free hedge
2	Large (millions)	Negative funding; exchange and ESMA risk	90-day funding above ≈7%, sustained, and EU rules clarified
3	≈2.5k EURC per event	Thin books; transfer costs	Free par redemption, or Bitvavo volume above €100k a day

Decision: deploy none. The €40k stays in the 2.5% deposit.

What the work is good for now: live venue-quality data for best execution (MiCA Art. 78), euro-stablecoin liquidity evidence, and a checklist of the backtest errors that make losses look like profit.

Ranges: 1 from the live run; 2 from docs/eurc_live_test.md, before the EUR/USD hedge; 3 from docs/eurc_live_test_results.md, €5k sleeve.